

Copart, Inc. (NASDAQ: CPRT): Technical Analysis

SHORT

As of Sep 30, 2026 | Price \$27.36 | Entry \$29.19–30.49 | Target \$23.25 | Stop \$32.60 | Reward/risk 2.4x | Horizon 6–12 months

Thesis: The chart shows a de-rating that is not finished. CPRT is 57% off its May 2025 high, but unlike every earlier drawdown, earnings are shrinking while its main rival, IAA, takes share. A 17.6x P/E looks cheap next to the 34x ten-year median. That is the value trap. We do not short into the \$25.55 floor. We sell rallies into the falling 50-day, stop above it, and target 15x trailing EPS for **2.4x reward/risk**.

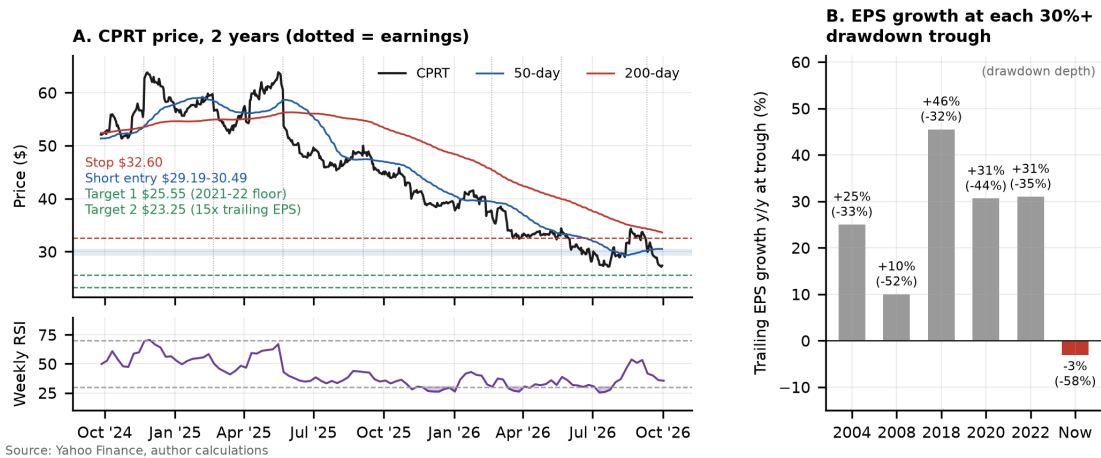


Exhibit 1. Price, trend and momentum with the trade levels (A); trailing EPS growth at the trough of every 30%+ drawdown with EPS data (B).

Setup: a break, not a dip

- **Deepest drawdown since 2003:** –57% from the May 2025 high. Lowest close since Oct 2022. 340 straight days below a falling 200-day.
- **This time EPS is falling.** In all 5 earlier 30%+ drawdowns with EPS data, trailing EPS was still up 10–46%. Today it is –3% (Exhibit 1B).
- **Losing to its rival:** 48 pts behind RB Global (IAA’s owner) over 2Y and 56 pts behind the S&P 500 over 1Y (Exhibit 2C).

Evidence: the dips stopped bouncing

- **Weekly RSI<30, 8 signals since 1996:** median 6M return –0.3% vs. +9.9% for all days.
- **Both rallies into the falling 50-day since mid-2025 failed** (–16%, –12% over 3M). Before 2025 the same setup made longs money (+16% median over 6M, n=23). The regime changed with the fundamentals.
- **Prints disappoint:** the stock fell after 9 of the last 12 reports. The median next-day move on an EPS miss is –3.2% (n=30).

Trade plan

Level	Price	R/R	Basis
Entry	\$29.19–30.49	–	Volume node to falling 50-day
Stop	\$32.60	–	1.5 ATR above 50-day / 23.6% retrace
Target 1	\$26.74	1.1x	52-week low
Target 2	\$25.55	1.6x	2021–22 floor
Target 3	\$23.25	2.4x	15x trailing EPS of \$1.55

- **Do not chase:** daily RSI is 32 and price sits on the 2021–22 floor. Wait for the rally.
- **Alternative entry:** if \$25.55 breaks first, short a failed retest of it from below.

Fundamental cross-check

- Copart’s share of the Copart + IAA salvage pool fell from **63.9%** to **61.4%** in FY26. That is about 167k units and \$166M of service revenue.
- One lost insurer was ~10% of U.S. insurance volume. Ex-customer, assignments were +2.3% vs. –7.5% reported.

Risks and mitigants

- **Nov 19 print:** options imply ±10.8%, wider than the stop. *Mitigant:* half size into the print.
- **Claims recover:** auto insurance CPI is now –5.1% y/y, and cheaper cover could bring back small claims. *Mitigant:* track claim counts monthly and cover if frequency turns up.
- **Buyers step in:** \$1.6B of FY26 buybacks, the ACV deal pitched as growth, and a \$39 Street mean target. *Mitigant:* short interest is only 4.6% of float (3.3 days to cover), so squeeze risk is low.

Invalidation: weekly close above \$32.60, or a reclaim of the 200-day (\$33.61).

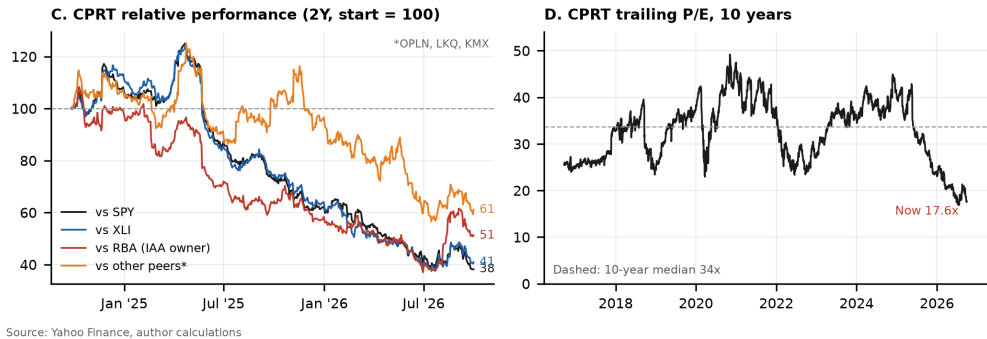


Exhibit 2. CPRT relative to the S&P 500, industrials, RB Global and other auto remarketing peers (C); trailing P/E over 10 years (D). Sources: Yahoo Finance prices, earnings, short interest (Sep 15, 2026) and options; RB Global filings; Copart earnings calls; author calculations. Signal studies use small samples and are context, not proof.